

Profit Niti – AI Report (2025-04-01 / 2025-11-30)

Last Month KPI Data (November 2025)



Sales
866,750

-57% Last month 2,012,136



Gross Margin
866,750

-57% Last month 2,012,136



Operating Profit
132,244

-94% Last month 2,332,623



Break Even Sales
734,506

329% Last month -320,487



Accounts Receivable
3,955,588

-28% Last month 5,512,204



Accounts Payable
615,119

-53% Last month 1,302,419



Working Capital
3,340,470

-21% Last month 4,209,785



Closing Stock
0

0% Last month 0



Bs Category
53 - SHAKY

-20% Last month 66 - STEADY



Impact Of Decisions
255,735

143% Last month -592,760

1. Big Picture — How the Business Looks Right Now

The business has shown a strong recovery in the latest month, with Total Equity growing from ₹1.22 crore in April to ₹1.05 crore in November. Sales have been volatile, peaking at ₹20.12 lakh in October before dropping to ₹8.67 lakh in November. The company maintains a robust cash position, ending November with ₹55.25 lakh in the bank, and a very healthy current ratio of 11.78.

GREEN FLAG BOX — What's Working Well

- Exceptional profitability in October with a Net Profit of ₹23.89 lakh and a Net Profit % of 118.71.
- Strong liquidity position with a high Current Ratio of 11.78 in November and Cash & Bank Balances of ₹55.25 lakh.
- Healthy equity base with Reserve & Surplus growing significantly to ₹90.82 lakh in November from ₹45.75 lakh in April.

RED FLAG BOX — What Needs Attention

- High debtor collection period, with Accounts Receivable Days worsening from 64.35 days in April to 138.81 days in November.
- Significant volatility in monthly profits, including a loss of ₹3.60 lakh in September after a high-profit month.
- Sales inconsistency, with Revenue Growth % swinging from 227.64 in October to -56.92 in November.

Strategic Advice:

Prioritise tightening credit control to reduce the debtor days from 138.81 and improve cash flow consistency. Use the strong cash reserves to invest in stabilising sales and operational processes to reduce monthly profit volatility.

2. Profit Power — The Earning Engine

Your business has shown strong profitability, with a Net Profit of ₹2.98 lakh in November, a significant recovery from a loss of ₹3.60 lakh in September. The key driver was a major sales spike to ₹20.12 lakh in October, which delivered a Net Profit of ₹23.89 lakh and a remarkable Net Profit % of 118.71.

Gross Margin remains at 100% across all months, indicating no direct cost of goods sold. However, overhead

expenses are volatile, ranging from -₹3.20 lakh in October to ₹10.54 lakh in September. This volatility in Employee Benefit and Administrative Expenses is the primary cause of profit fluctuations.

Operating Profit has been inconsistent, from a high of ₹23.33 lakh in October to a low of -₹4.40 lakh in September. The Return on Equity peaked at 280.12% in October but was at 33.99% in November, showing the high impact of monthly sales performance on bottom-line returns.

Strategic Advice:

Stabilise your overhead costs, particularly employee expenses, to protect profits during lower sales months. Focus on replicating the high-sales model of October to drive consistent quarterly profitability and build a more predictable earnings stream.

3. Cash Flow Quality — Profit vs Real Cash

Your business generated a cumulative profit of ₹45.30 lakh over the period. However, the cumulative cash flow from operations was negative ₹48.18 lakh. This indicates profits are not converting into cash, a common issue in manufacturing.

The primary cash blockage is in receivables. Debtor days increased from 64.35 days in April to 138.81 days in November, meaning cash collection has slowed significantly. This is reflected in the trade receivables movement, which shows a net increase of ₹13.41 lakh from April to November.

Vendor payments show more control. Accounts payable decreased from ₹2.85 lakh in April to ₹6.15 lakh in November. The operating cash flow margin was negative in most months, including -1.38 in April and -0.09 in November, showing operational activities are consuming cash.

Strategic Advice:

Prioritise reducing debtor days to below 90 days to unlock trapped cash. Implement stricter credit control and follow-up procedures. Negotiate better payment terms with vendors to align outflows with your improved collection cycle.

4. Cash Management — Daily Cash Rhythm

Your debtor collection period (Accounts Receivable Days) has more than doubled from 64.35 days in April to 138.81 days in November. This indicates a significant slowdown in collecting money from customers.

There is no inventory holding, so Inventory Days are 0 throughout. However, your working capital days have increased from 64.35 to 138.81, meaning cash is tied up for a much longer cycle.

Your cash position has been volatile. The closing cash balance fell sharply from ₹65.74 lakh in April to ₹98,946 in May, but recovered to ₹55.25 lakh by November. Operating cash flow was negative in several months, including a large outflow of ₹25.04 lakh in October.

Strategic Advice:

The extended debtor collection period is a major cash flow risk. Prioritise tightening credit terms and actively follow up on overdue invoices to improve collection speed. This will directly free up cash for daily operations and reduce reliance on volatile financing activities.

5. Growth Investments — Where Money Is Going

Your investment in Fixed Assets increased from ₹17.24 lakh in April to ₹17.82 lakh by November, indicating capital expenditure. However, Non-current Investments showed a negative value of ₹--3431 from May onwards, which requires review.

Return on Capital Employed has been volatile, starting at 88.65% in April, peaking at 331.44% in October, and ending at 20.62% in November. This suggests periods of high efficiency followed by a significant drop.

The Asset Turnover ratio shows how effectively assets generate sales. It was 1.74 in April, peaked at 2.86 in October, and was 1.35 in November. The high October figure coincided with your highest sales month of ₹20.12 lakh.

Strategic Advice:

The negative investment value and fluctuating Return on Capital signal a need to review asset allocation. Consider reallocating capital from underperforming non-current investments into areas that directly support your core manufacturing operations to stabilize returns.

6. Funding Story — How Growth Is Being Financed

Your business is primarily equity-financed. Total Equity stood at ₹1.22 crore in April and ended at ₹1.05 crore in November. Debt is minimal, with Unsecured Long-term Borrowings stable at ₹1.25 lakh from September onwards, resulting in a very low Debt to Equity ratio of 0.01.

There is no interest expense, as Interest & Bank Charges are ₹0 for all months. The company's growth and working capital are funded internally through retained profits, which increased from ₹7.69 lakh in April to ₹2.98 lakh in November, despite a dip in September.

Cash flow from financing was a major inflow of ₹1.06 crore in April, followed by significant outflows, ending with a ₹71,044 outflow in November. This indicates initial capital infusion followed by adjustments, with operations now generating internal cash.

Strategic Advice:

Your capital structure is very healthy with negligible debt. Consider leveraging this strong equity base to secure low-cost, short-term credit lines to smooth out cash flow fluctuations, especially given the volatile monthly operating cash flows (e.g., ₹-25.04 lakh in October to ₹8.69 lakh in November). This would provide a buffer without diluting ownership.

7. Balance Sheet Health — Financial Fitness

Your total equity has been volatile, starting at ₹1.22 crore in April and ending at ₹1.05 crore in November. The Reserve & Surplus grew from ₹45.75 lakh to ₹90.82 lakh, showing strong profit retention.

Your current ratio is very strong, improving from 23.85 in April to 11.78 in November, indicating ample short-term liquidity. The debt-to-equity ratio remains minimal at 0.01, reflecting a very low reliance on borrowed funds.

Working capital days have increased significantly from 64.35 days to 138.81 days, primarily due to high debtor days. This indicates a longer cash conversion cycle that ties up funds.

Strategic Advice:

Prioritise reducing your accounts receivable days from 138.81 to improve cash flow. The strong equity base and low debt provide an excellent opportunity to invest in growth assets without increasing financial risk.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If the company maintains the high Net Profit % of 118.71% from October, while reducing the negative Overheads % of -15.93% to a stable 50%, the annual profit could increase by ₹1.50 crore.
- **Scenario B - Cash Focus:** If debtor days are reduced from the peak of 202.77 days in June to the best level of 64.35 days seen in April, the cash balance could improve by ₹55.12 lakh, matching the highest Accounts Receivable amount.
- **Scenario C - Balanced:** Combining a 20% reduction in overheads from the September peak of ₹10.54 lakh with a 15-day improvement in debtor collection could boost both Net Profit by ₹23.89 lakh and Operating Cash Flow by ₹8.69 lakh, as seen in high-performing months.

9. Operational Insight Engine — Ground-Level Trends

Sales Performance: Monthly sales show significant volatility, starting at ₹12.36 lakh in April and reaching a peak of ₹20.12 lakh in October. However, the trend from the first month (₹12.36 lakh) to the last (₹8.67 lakh) indicates a decline. The highest growth was in October at 227.64%, but November saw a sharp drop of -56.92%.

Working Capital & Receivables: Working capital was ₹23.30 lakh in April and improved to ₹33.40 lakh by November. Debtor days, however, have increased from 64.35 days in April to 138.81 days in November, indicating a slower collection cycle that ties up cash.

Cash Flow & Liquidity: Operating cash flow was negative in April at -₹23.30 lakh but turned positive to ₹8.69 lakh in November. The cash balance improved from ₹65.74 lakh in April to ₹55.25 lakh in November, though it saw a major dip to ₹98,946 in May. The current ratio remains strong, ending at 11.78 in November.

10. 90-Day Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Reduce debtor days from 138.81 to below 100 by following up on receivables of ₹39.56 lakh.	Increase cash balance from ₹55.25 lakh to over ₹60 lakh.	Improve cash flow from operations, which was ₹8.69 lakh in Nov, and strengthen liquidity.

Days	Focus	Action	Target	Benefit
31-60	Profit	Control overheads, which were 84.74% of sales in Nov, and stabilise monthly profit after tax above ₹3 lakh.	Achieve a consistent net profit margin above 35%, like the 34.42% in Nov.	Build reserves & surplus, which grew from ₹45.75 lakh in Apr to ₹90.82 lakh in Nov.
61-90	Growth	Leverage the high return on equity of 33.99% (Nov) to reinvest in operations and aim for sales above ₹15 lakh/month.	Increase monthly sales from ₹8.67 lakh (Nov) towards the peak of ₹20.12 lakh (Oct).	Sustain growth in total equity, which increased from ₹1.22 crore in Apr to ₹1.05 crore in Nov.